

3. Use reasonable expectations for portfolio returns. A key lesson for long-term financial planning is that you should not expect to earn the average historical market returns for your portfolio. Half of the time, realized returns will be less. As well, we have been experiencing a period of historically low interest rates, which unfortunately provides a clear mathematical reality that at least bond returns are going to be lower in the future. This has important implications for those who have retired (these implications are relevant for those far from retirement as well, but the harm of ignoring them is less than for retirees). At the very least, dismiss any retirement projection based on 8 or 12 percent returns, as the reality is likely much less when we account for portfolio volatility, inflation, and a desire to develop a plan that will work more than half the time and in today's low interest rates.

4. Be careful about plans that only work with high market returns. A natural mathematical formula that applies to retirement planning is that higher assumed future market returns imply higher sustainable spending rates. Bonds provide a fixed rate of return when held to maturity, and stocks potentially offer a higher return than bonds as a reward for their additional risk. But a "risk premium" is not guaranteed and may not materialize. Retirees who spend more today because they are planning for higher market returns than available for bonds are essentially "amortizing their upside." They are spending more today than justified by bond investments, based on an assumption that higher returns in the future will make up the difference and justify the higher spending rate.

For retirees, the fundamental nature of risk is the threat that poor market returns will trigger a permanently lower standard of living. Retirees must decide how much risk to their lifestyle they are willing to accept. Assuming that a risk premium on stocks will be earned and spending more today is risky behavior. It may be reasonable behavior for the more risk tolerant among us, but it is not a behavior that will be appropriate for everyone. It is important to think through the consequences in advance.

5. Build an integrated strategy to manage various retirement risks. Building a retirement income strategy is a process that requires determining how to